Financial Literacy Quiz

Name: ____________________

1. Suppose you had $100 in a savings account and the interest rate was 2% per year. After 5 years, how much do you think you would have in the account if you left the money to grow?

a) More than $102
b) Exactly $102
c) Less than $102
d) Do not know

2. Imagine that the interest rate on your savings account was 1% per year and inflation was 2% per year. After 1 year, how much would you be able to buy with the money in this account?

a) More than today
b) Exactly the same
c) Less than today
d) Do not know

3. If interest rates rise, what should happen to bond prices?

a) They should rise
b) They should fall
c) They should stay the same
d) There is no relationship between bond prices and interest rates
e) Do not know

4. Please tell me whether this statement is true or false: "Buying a single company's stock usually provides a safer return than a stock mutual fund."

a) True
b) False
c) Do not know